

Investment Banking Glossary

Trade lifecycle

A simplified lifecycle is order capture, validation, execution, confirmation, settlement, reconciliation and reporting.

Settlement

Settlement is the exchange of securities and cash. Failed settlements should be investigated and escalated according to operational procedures.

Counterparty exposure

Counterparty exposure is potential loss if another party fails to meet contractual obligations. It depends on product, collateral, netting, maturity and market conditions.

Market risk

Market risk can arise from interest rates, foreign exchange, equity prices, commodities, credit spreads and volatility.

Liquidity risk

Liquidity risk is the possibility that an institution cannot meet obligations when due without unacceptable losses.